

26PSCV01342 26PSCV01342

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Case Number: 26PSCV01342 Hearing Date: September 9, 2026 Dept: O

Tentative Ruling

DEFENDANTS CONCORD SERVICING, LLC AND CONCORD SERVICING INTERNATIONAL, LLC'S DEMURRER TO COMPLAINT is SUSTAINED with 30 days leave to amend.

Background

This case arises from the installation of solar panels. Plaintiffs RAED FAWAZ and HELEN FAWAZ allege the following against Defendants ALL PREMIUM CONTRACTORS, INC., a California Corporation; SOLAR MOSAIC LLC; a Delaware Limited Liability Company; CONCORD SERVICING LLC, a Delaware Limited Liability Company, CONCORD SERVICING INTERNATIONAL LLC, an Arizona Limited Liability Company: In or around February 2023, Defendants, through their sales side, initiated contact with Plaintiffs by cold call in an effort to sell a residential solar system for the Subject Property; The solar sales company was All Premium Contractors, and the finance company or lender was Mosaic. The transaction was presented and consummated as a loan. The documents were signed on or about February 24, 2023, at Plaintiffs' home; Plaintiffs are informed and believe, and based thereon allege, that after the initial \$25,000 approval, Defendants and/or their agents used Helen's personal information to

open a second loan for approximately \$75,000 without Plaintiffs' knowledge, consent, signature, or authorization (Plaintiffs never signed, approved, or were informed that a second loan was required); as for the system, although the system is presently capable of some operation, it has not functioned as represented. Plaintiffs have experienced

system shutoffs, inconsistent system performance, failure to meet performance projections, and battery-related problems; after Mosaic originated and/or initially held the subject loan obligations, Mosaic assigned, transferred, sold, delegated, conveyed, and/or otherwise caused its rights to be acquired in whole or in part by Defendants Concord Servicing LLC and Concord Servicing International LLC.

On April 13, 2025, Plaintiffs filed suit asserting the following causes of action (COAs):

1. Fraud / Intentional Misrepresentation;
2. Negligent Misrepresentation;
3. Negligent Hiring, Retention, and Supervision;
4. Breach of Contract and
5. Unfair Business Practices in Violation of Business
& Professions Code §
17200 et seq.

On June 16, 2026, Solar Mosaic, LLC filed a motion to compel arbitration.

On August 12, 2026, DEFENDANTS
CONCORD SERVICING, LLC AND CONCORD SERVICING INTERNATIONAL, LLC filed the instant demurrer.

On August 17, 2026, DEFENDANT SOLAR
SERVICING LLC'S filed a motion to compel arbitration.

On August 26, 2026, Plaintiffs filed
an opposition to the demurrer.

On September 1, 2026, a reply was
filed.

Discussion

The crux of the demurrer is that sufficient facts have not been asserted against Concord Defendants because the Complaint does not allege that either “Concord entity participated in the February 2023 sales process, made any representations to Plaintiffs regarding the solar system or its benefits, employed or supervised the sales agents or installers, originated or funded any loan, entered into any contract with Plaintiffs, or had any contact with Plaintiffs prior to acquiring loan servicing rights from Mosaic.” (Demurrer p. 5.)

The court will not reach the merits on this demurrer because the opposition, as even noted in reply, extraneous matter (i.e., matter outside the four corners of the complaint). This includes Plaintiffs relying upon June 2026 collection letters and a Rosenthal Fair Debt Collection Practices Theory. With that, as the court is bound by the complaint and nothing more, the court finds it prudent to sustain the demurrer with 30 days leave to amend to ensure such matters are pled. (And the opposition on pages 12 and 13 delineates additional facts which may be pled.)

Conclusion

Based on the foregoing, the demurrer is sustained.